Major developments in Indian politics occurred during 1922-28. Immediately, the withdrawal of the Non-Cooperation Movement led to demoralisation in the nationalist ranks. Moreover, serious differences arose among the leaders who had to decide how to prevent the movement from lapsing into passivity. One school of thought headed by C.R. Das and Motilal Nehru advocated a new line of political activity under the changed conditions. They said that nationalists should end the boycott of the Legislative Councils, enter them, obstruct their working according to official plans, expose their weaknesses, transform them into arenas of political struggle and thus use them to arouse public enthusiasm. Sardar Vallabhbhai Patel, Dr Ansari, Babu Rajendra Prasad and others, known as 'no-changers', opposed Council entry. They warned that legislative politics would lead to neglect of work among the masses, weaken nationalist fervour and create rivalries among the leaders. They, therefore, continued to emphasise the constructive programme of spinning, temperance, Hindu-Muslim unity, removal of untouchability and grassroots work in the villages and among the poor. This would, they said, gradually prepare the country for the new round of mass struggle. In December 1922, Das and Motilal Nehru formed the Congress-Khilafat Swarajya Party with C.R. Das as president and Motilal Nehru as one of the secretaries. The new party was to function as a group within the Congress. It accepted the Congress programme except in one respect—it would take part in Council elections.

The Swarajists and the 'no-changers' now engaged in fierce political controversy. Even Gandhiji, who had been released on 5 February 1924 on grounds of health, failed in his efforts to unite them. But both were determined to avoid the disastrous experience of the 1907 split at Surat. On the advice of Gandhiji, the two groups agreed to remain in the Congress though they would work in their separate ways.

Even though the Swarajists had little time for preparations, they did very well in the election of November 1923. They won 42 seats out of the 101 elected seats in the Central Legislative Assembly. With the cooperation of other Indian groups they repeatedly out-voted the government in the Central Assembly and in several of the Provincial